INTERNATIONAL MONETARY FUND

REPUBLIC OF MOLDOVA

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STAFF REPORT FOR THE 2023 ARTICLE IV CONSULTATION, FOURTH REVIEWS UNDER THE EXTENDED CREDIT FACILITY AND EXTENDED FACILITY ARRANGEMENTS, REQUEST FOR EXTENSION AND REPHASING OF THE ARRANGEMENTS, AND REQUEST FOR AN ARRANGEMENT UNDER THE RESILIENCE AND SUSTAINABILITY FACILITY—DEBT SUSTAINABILITY ANALYSIS

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Prepared by the staff of the International Monetary Fund (IMF) and the International Development Association (IDA).

Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	Low
Overall risk of debt distress	Moderate
Granularity in the risk rating	Not applicable
Application of judgment	No

The Debt Sustainability Analysis (DSA) assesses Moldova at low risk of external debt distress and at moderate risk of overall public debt distress, unchanged from the December 2022 DSA.[1] Moldova's public debt is considered sustainable with current debt carrying capacity assessed as strong.[2] This is despite the increased financing needed to mitigate the economic and humanitarian fallout of Russia's invasion and war in Ukraine and projected medium-term developmental spending needs. Overall, the public debt trajectory remains vulnerable to risks, particularly from shocks to real GDP growth, calling

[1] The previous DSA, dated December 19, 2022, accompanied Moldova's Staff Report for the second review under the ECF/EFF program, IMF Country Report No. 23/006.

[2] Moldova's Composite Indicator (CI) index, based on the October 2023 WEO update and the WB's 2022 Country Policy and Institutional Assessment (CPIA), indicates that the country's debt carrying capacity remain strong (3.07).

for broadening growth drivers, sustaining reform momentum, and remaining committed to prudent fiscal policy under the ECF/EFF program, while reducing longer-term risks stemming from climate change through the new RSF. In addition, improving governance, enhancing effectiveness of public spending, and strengthening management of fiscal risks, including from SOEs, are priorities to contain public debt vulnerabilities, as well as reducing vulnerabilities to extreme weather events and energy shocks.

PUBLIC DEBT COVERAGE

1. Moldova's public debt includes obligations of the public sector (central government, local authorities, and public entities). Public debt includes external and domestic obligations, including arrears to suppliers and guaranteed debt. Domestic debt includes debt of state and municipal enterprises, companies with full or majority public ownership, and of local public authorities with maturity of a year and above, as stipulated in Law No. 419 (2006) on Public Sector Debt, State Guarantees and State On-lending.[3]

2. Debt contracted by the central government and central bank owed to the IMF is covered.[4] Debt coverage is on residency basis.

Text Table 1. Moldova: Public Debt Coverage

Public Debt Coverage

	Subsectors of the public sector	Check box
1	Central government	X
2	State and local government	X
3	Other elements in the general government	
4	o/w: Social security fund	X
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	X

Public Debt Coverage and the Magnitude of the Contingent Liability Tailored Stress Test

1	The country's coverage of public debt	The central, state, and local governments plus social security, central bank, government-guaranteed debt, non-guaranteed SOE debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	0.0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	2	
4	PPP	35 percent of PPP stock	0.0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	10	
	Total (2+3+4+5) (in percent of GDP)		12.0	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

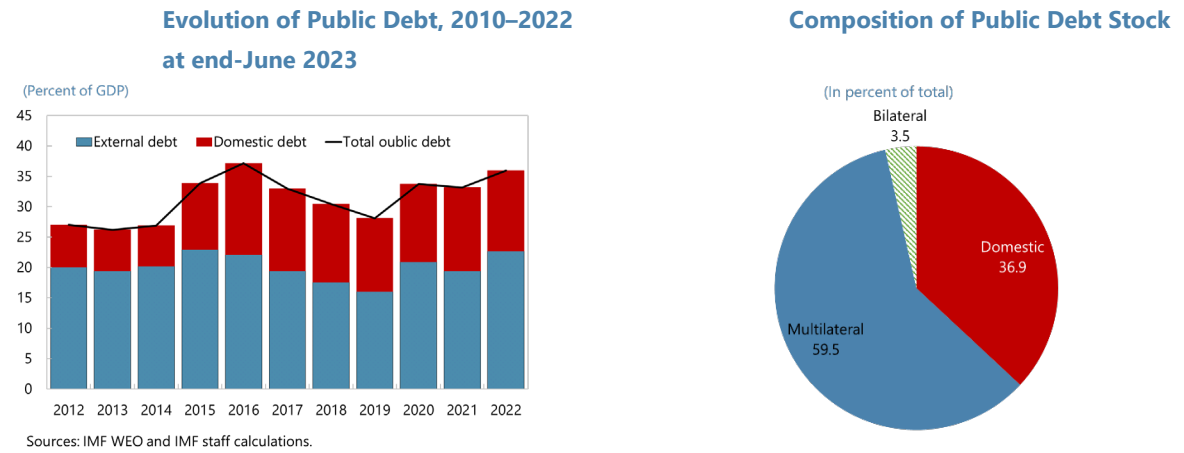
[3] PPG debt covers gross debt of the general government. SOE debt in Moldova is primarily driven by externally financed project loans that are on-lent by the central government to SOEs. Both on-lending to the private sector (operationalized through commercial banks) and to SOEs are part of public guarantees and are included in the central government debt. Non-guaranteed SOEs debt is also included in the public debt. Debt of SOEs with maturity longer than a year accounts for about 2 percent of GDP as of 2022. The authorities will continue to take concrete steps towards expanding debt coverage for local governments' debt, SOEs and PPPs to include all existing debt obligations. Due to the lack of data, information on PPPs is currently limited. The change in coverage complicates intertemporal analysis of PPG debt. The contingent liabilities shock from SOE debt is set at the default value of 2 percent of GDP to reflect risks associated with borrowing of SOEs majority owned by the state, while a contingent liability shock of 12 percent of GDP is meant to also capture risks from PPPs and SOEs that are partially owned by the state.

[4] Includes obligations on the SDR allocation in 2021 (about US$236 million).

BACKGROUND ON DEBT

3. Public and publicly guaranteed (PPG) debt increased in 2022 to 36.4 percent of GDP, up from 34.6 percent of GDP in 2021. PPG debt peaked at 37 percent in 2016, up from 27 percent of GDP in 2010. A key driver of the increase was issuance of a state guarantee to the NBM to provide emergency liquidity to the banking sector. It was then on a downward trend until 2019. However, in 2020, COVID-induced borrowing pushed up public debt, driven by increases in both domestic and external debt (Table 1)[5], while shocks in 2022 related to Russia's war in Ukraine and subsequent policy response led to an increase of 2.8 ppt. Both PPG and private external debt levels are expected to continue to rise modestly this year, reflecting continued borrowing from multilateral and official bilateral creditors and an increase in trade credit and advances. Currently, nearly 60 percent of PPG debt is from multilateral institutions, while just over a third is PPG domestic marketable debt, split between long-term debt securities and T-bills. Other domestic marketable debt is mainly short-term and held by the banking system.

Text Figure 1. Public and Publicly Guaranteed Debt



Sources: IMF WEO and IMF staff calculations.

4. Moldova's gross external debt increased by nearly three percent of GDP in 2022 from 63.3 percent of GDP in 2021, but remains below the 2020 level of 70 percent of GDP. In 2022, PPG external debt increased over 3 percentage points of GDP from 2021 of just over 19 percent of GDP, reflecting increased support from multilateral institutions in response to the 2022 shocks. A reduction of gross total external debt during 2016–19 largely reflected a decline in private external debt, which at above 40 percent of GDP since 2010, remains relatively elevated compared to peers. The strong appreciation of the nominal exchange rate by about 14 percent during this period also contributed to the reduction in gross external debt. The decline in private sector debt during this period was also due to a decrease in overseas borrowing by the banking sector, reflecting the aftereffects of the banking crisis in 2014. While gross total external debt in Moldova is sizable at 66.2 percent of GDP in 2022, about one-third of the private debt is

[5] Although eligible, Moldova did not participate in the 2020–21 Debt Service Suspension Initiatives.

liabilities to direct investors (Moldovan foreign-owned companies borrowing from their parent companies abroad). Short-term debt of the non-bank sector is high as well, over one-third of non-bank debt, and consists of trade credits, advances, and other debt liabilities, mostly for the import of natural resources.

Table 1. Moldova: Decomposition of Public Debt and Debt Service by Creditor [1/]

(Millions of U.S. dollars, unless otherwise indicated)

	Debt Stock (end of period)			Debt Service Due		Debt Service	
	6/30/2023			01.01.2023-30.06.2023	6/30/2023	01.01.2023-30.06.2023	6/30/2023
		(Percent total debt)	*(Percent GDP)*		*(Percent GDP)*		*(Percent GDP)*
Total	5666.3	100.0	33.9	1100.5	6.6	1079.5	6.5
External	3573.4	63.1	21.4	152.3	0.9	137.3	0.8
Multilateral creditors[2,3]	3372.4	59.5	20.2	133.2	0.8	133.2	0.8
IMF	1123.6	19.8	6.7				
World Bank	933.8	16.5	5.6				
ADB/AfDB/IADB		0.0	0.0				
Other Multilaterals	1315.0	23.2	7.9				
o/w: list largest two creditors	929.5	16.4	5.6				
EBRD	486.8	8.6	2.9				
EIB	442.7	7.8	2.6				
list of additional large creditors	234.9	4.1	1.4				
EU	234.9	4.1	1.4				
Bilateral Creditors[2]	201.0	3.5	1.2	19.1	0.1	4.1	0.0
Paris Club	178.7	3.2	1.1	18.9	0.1	4.0	0.0
o/w: list largest two creditors	131.1	2.3	0.8				
AFD	81.9	1.4	0.5				
JICA	49.2	0.9	0.3				
list of additional large creditors	0.0	0.0	0.0				
Non-Paris Club	22.3	0.4	0.1	0.1	0.0	0.1	0.0
o/w: list largest two creditors	22.3	0.4	0.1				
Government of Poland	22.3	0.4	0.1				
list of additional large creditors	0.0	0.0	0.0				
Bonds	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Commercial creditors	0.0	0.0	0.0	0.0	0.0	0.0	0.0
o/w: list largest two creditors	0.0	0.0	0.0				
list of additional large creditors	0.0	0.0	0.0				
Other international creditors	0.0	0.0	0.0	0.0	0.0	0.0	0.0
o/w: list largest two creditors	0.0	0.0	0.0				
list of additional large creditors	0.0	0.0	0.0				
Domestic	2092.9	36.9	12.5	948.2	5.7	942.2	5.6
Held by residents, total	2092.4	36.9	12.5	948.2	5.7	942.2	5.6
Held by non-residents, total	0.5	0.0	0.0				
T-Bills	1152.2	20.3	6.9	882.1	5.3	882.1	5.3
Bonds	865.7	15.3	5.2	36.2	0.2	36.2	0.2
Loans*	75.0	1.3	0.4	29.9	0.2	23.9	0.1
Memo items:	95.7	1.7	0.6				
Collateralized debt[4]	n/a	n/a	n/a				
o/w: Related	n/a	n/a	n/a				
o/w: Unrelated							
Contingent liabilities	95.7	1.7	0.6	24511.6	0.0	0.0	0.0
o/w: Public guarantees	95.7	1.7	0.6	24511.6	0.0	0.0	0.0
o/w: Other explicit contingent liabilities[5]	n/a	n/a	n/a				
Nominal GDP	16729.7						

1/As reported by Country authorities according to their classification of creditors, including by official and commercial.

2/Some public debt is not shown in the table due to confidentiality clauses or capacity constraints.

3/Multilateral creditors" are simply institutions with more than one official shareholder and may not necessarily align with creditor classification under other IMF policies (e.g. Lending Into Arrears)

4/Debt is collateralized when the creditor has rights over an asset or revenue stream that would allow it, if the borrower defaults on its payment obligations, to rely on the asset or revenue stream to secure repayment of the debt. Collateralization entails a borrower granting liens over specific existing assets or future receivables to a lender as security against repayment of the loan. Collateral is "unrelated" when it has no relationship to a project financed by the loan. An example would be borrowing to finance the budget deficit, collateralized by oil revenue receipts. See the joint IMF-World Bank note for the G20 "Collateralized Transactions: Key Considerations for Public Lenders and Borrowers" for a discussion of issues raised by collateral.

5/Includes other-one off guarantees not included in publicly guaranteed debt (e.g. credit lines) and other explicit contingent liabilities not elsewhere classified (e.g. potential legal claims, payments resulting from PPP arrangements).

* Debt service projection does not include data on interest payment on SOE and local authorities contracts

MACROECONOMIC OUTLOOK

5. Macroeconomic assumptions underlying the projections are consistent with the baseline in the Fourth Review of the ECF/EFF-supported program. The main changes relative to the previous DSA of December 2022 include a more than a doubling of the 2023–2028 annual inflation (primarily reflecting a higher peak in inflation due to the shocks in 2022). In addition, the non-interest current account deficit is now wider, reflecting the worse than anticipated outcome in 2022 and subsequent slower improvement in the current account deficit over the medium term. Additional financing has mostly been on concessional

terms. Other long run macroeconomic assumptions remain broadly unchanged. Economic performance is expected to remain solid over the medium term, with steady growth, moderate inflation, and a gradual narrowing of the current account deficit. Risks to the near-term outlook are significant and tilted to the downside as Moldova continues to grapple with persistent external and domestic headwinds.

- **Real GDP.** A gradual recovery is projected in the near term. The economy is expected to pick up in 2023H2, with growth projected at 2 percent in 2023 and 3.9 percent in 2024. Though high frequency and economic sentiment indicators suggest still weak domestic demand in 2023H2 reflecting inflation and uncertainty related to the war in Ukraine. A moderate recovery is expected in 2024 as real wages and remittances slowly recover (with inflation expected to fall within the target band, while slower-than-expected growth in the EU may delay full recovery of remittances). Agricultural production is also expected to pick up in 2023H2 with a good harvest following the drought and support growth. In addition, upward growth revision of Moldova's main trade partners in 2023 and 2024 will boost the external trade balance and support growth, with a continued acceleration in growth to 5 percent in the medium-term.

- **Inflation.** Inflation has decelerated faster than anticipated since the start of the year and is expected to fall within the NBM's target by end-2023. Headline inflation fell to 8.6 percent in September 2023, from a peak of 34.3 percent in October 2022, driven by a sharp decline in food and fuel prices as global prices receded and as agricultural production gradually recovered from the drought in 2022, amid a tighter monetary policy response than in peer countries due to more acute pressures. Core inflation has also declined to 6.1 percent in September.

- **Fiscal.** Revenues and expenditures have both been lower than expected, although weaker revenue collection has been more than offset by expenditure under-execution. As such, the fiscal deficit is projected at 5 percent of GDP in 2023, 1 percentage point lower than expected. Recent data suggest revenue will be 1.5 percent of GDP lower than in the approved budget, reflecting VAT collection shortfalls due to lower-than-expected imports and lower consumption tax collections. On the expenditure side, transfers to households saw about 25 percent savings in the Energy Vulnerability Reduction Fund (EVRF), due to lower international energy prices and favorable weather. Under-execution of goods and services was mostly at the local level reflective of disbursement in investment projects, which will close at 3.1 percent of GDP in 2023. External grants are in line with end-year projections at 2.3 percent of GDP. The medium-term budget framework envisages deficit reduction to 3.1 percent of GDP by 2027. Tax policy and revenue administration reforms will help improve revenue mobilization, including preparation of cost-benefit analyses to phase out tax expenditures and reform of tax audit processes.

- **External sector.** The current account deficit worsened to 17.2 percent of GDP in 2022, from over 12 percent of GDP in 2021, reflecting a significant decline in net remittances and worker's compensation (due to impacts stemming from the war in Ukraine, including larger private outflows in early 2022 than normal and disruptions to Moldovan workers in countries affected by the war) and a more than doubling of the energy import bill. The current account deficit is expected to improve to 12 percent of GDP in 2023 due to a recovery in personal transfers, lower imports, and continued strong

services exports, before narrowing to 9.5 percent of GDP by 2028 as the initial effects of the war in Ukraine reverse and the overvaluation of the leu is reduced. Despite the pandemic and the major impact felt on Moldova by the war in Ukraine, the leu has continued to strengthen as the impact of both shocks fades. At end-December 2022, gross international reserves stood at just under $4.5 billion, up from $3.9 billion in 2021, comprising over 180 percent of the Fund's composite reserve adequacy metric. Gross international reserves are expected to increase further in 2023 and beyond as remittances and other income flows recover, ensuring reserve adequacy at 4.7 months of imports over the medium-term.

- **External borrowing.** The DSA assumes that contracted but undisbursed concessional loans will be fully disbursed over the medium-term as planned by the authorities. Commercial borrowings, with Moldova having graduated from IDA-eligible borrowing in 2021, are projected to rise over the longer term to finance the country's high development needs. This plays a key role in the DSA.[6] However, Moldova will continue to benefit from significant concessional and grant financing in the medium-term, driven in large part by the profile of the new concessional borrowing. In the short-term, the external financing need—estimated at about $883 million in 2023—will be fully covered by the WB's Development Policy Operation (DPO) ($221 million), the European Union ($197 million), other development partners (about $253 million), and augmented ECF/EFF disbursements of about $218 million, all of which are to be disbursed for budget support.[7] In 2024, an external financing gap of $548 million will be financed by IMF disbursements (around $270 million) under the ECF/EFF program, along with disbursements from the IBRD, the EU, and other development and bilateral partners.

- **The public debt-to-GDP ratio is expected to increase modestly in 2023–25 with an increase in domestic and external borrowing.** An increase in public debt reflects financing needs to mitigate the economic and humanitarian spillovers of Russia's war in Ukraine, while also responding to rising energy cost and food prices. In 2023, external debt is envisaged to increase slightly, before rising to just over 70 percent of GDP in 2024. Domestic borrowing is assumed to be balanced in 2023 with significant financing coming from external sources. Demand for government securities is expected to improve from 2025 onwards. The weighted average interest rate on short-term debt is assumed to be around 7 percent in 2023, continuing the reversal in yields that spiked in 2022, and is projected to remain there over the medium term.

6. The debt sustainability framework's realism tools suggest that the baseline projections are reasonable (Figures 3 and 4). There are small deviations in the evolution of the projection of external and PPG debt to GDP ratios for the current and previous DSA vintages, and from the DSA from the 5 years past. In terms of projections, the current DSA deviates from the previous DSA mainly due to the incorporation of revised macroeconomic and borrowing assumptions. For the **external public debt**, projected debt

[6] While this assumption is not based on concrete borrowing plans in the longer-term, it reflects the baseline assumptions, under which Moldova will continue to borrow into the future to finance productive infrastructure investments.

[7] The authorities also received a new SDR allocation of about $236 million (SDR 165.3 million) in 2021, which was channeled for budget support.

ratios are slightly higher in the near term, reflecting increased donor support. The increase in the **overall external debt ratio** relative to the five-year historical change is due mostly to exchange rate movements, changes in the growth path, other residuals, and developments in the current account and FDI.[8] For the **total public debt**, the moderation in the projected debt ratios to GDP in the medium term is driven mainly by stronger growth, whereas the increase compared to the five-year historical debt ratios was due to wider primary deficits. Growth is expected to rebound in 2023 to 2 percent and to reach an average of 5 percent in the medium-term. The projected 3-year adjustment in the primary deficit is similar to those observed in historical data from peers with Fund-supported programs (Figure 4) and is consistent with the authorities' commitment with continued fiscal consolidation.

Text Table 2. Moldova: Key Macroeconomic Assumptions
(DSA December 2023 vs DSA December 2022)

	2020-2022	2023-2028	2029-2033	2023-33
Real GDP growth (percent)				
Curent DSA	0.2	4.3	5.0	4.6
Previous DSA	1.4	4.3	5.1	4.7
Inflation (GDP deflator, in US dollar terms)				
Curent DSA	7.7	3.8	1.9	3.0
Previous DSA	5.7	1.3	1.9	1.6
Total Revenue (percent of GDP)[1]				
Curent DSA	31.2	32.1	33.7	32.8
Previous DSA	31.1	31.8	32.6	32.1
Current Account Deficit (non-interest, in percent of GDP)				
Curent DSA	11.8	9.3	6.0	7.8
Previous DSA	10.3	8.6	6.1	7.5

Source: Moldova authorities and Staff calculations.
[1] Total revenue, excluding grants.

7. The debt sustainability framework's realism tools suggest that the baseline projections are reasonable (Figures 3 and 4). There are small deviations in the evolution of the projection of external and PPG debt to GDP ratios for the current and previous DSA vintages, and from the DSA from the 5 years past. In terms of projections, the current DSA deviates from the previous DSA mainly due to the incorporation of revised macroeconomic and borrowing assumptions. For the **external public debt**, projected debt ratios are slightly higher in the near term, reflecting increased donor support. The increase in the **overall external debt ratio** relative to the five-year historical change is due mostly to exchange rate movements, changes in the growth path, other residuals, and developments in the current account and FDI.[9] For the **total public debt**, the moderation in the projected debt ratios to GDP in the medium term is driven mainly by stronger growth, whereas the increase compared to the five-year historical debt ratios was due to wider

[8] The relatively large residuals in external financing mainly reflect a change in the private sector debt.

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primary deficits. Growth is expected to rebound in 2023 to 2 percent and to reach an average of 5 percent in the medium-term. The projected 3-year adjustment in the primary deficit is similar to those observed in historical data from peers with Fund-supported programs (Figure 4) and is consistent with the authorities' commitment with continued fiscal consolidation.

8. Public investment and growth. The ECF/EFF-supported program aims at augmenting public investment with growth-enhancing structural reforms, including SOEs reform, and an improvement of the business environment. The new RSF also aims to catalyze external private financing into the energy sector and for climate-related projects, though the exact impacts of this will only become clearer once the reform measures are implemented. Reforms under both programs would be expected to crowd-in and enhance domestic and foreign private investments in support of the higher projected growth trajectory over the medium term.

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

9. Moldova's debt carrying capacity is assessed to be strong, unchanged from the previous DSA. The composite indicator (CI), which captures the impact of several factors through a weighted average of an institutional indicator,[10] real GDP growth, remittances,[11] international reserves, and world growth, confirms that Moldova's debt carrying capacity is classified to be strong, which is unchanged from the previous two DSA rounds. Applicable thresholds and benchmark are presented in Text Table 3.[12]

10. The DSA includes a stress test that follows standardized settings.[13] All the PPG external debt indicators remain below the policy relevant thresholds (Table 4 and Figure 1). The standardized stress test indicates a breach of public debt thresholds beyond 2028 (Table 5 and Figure 2). Moldova does not have prominent economic features such as significant reliance on commodity exports, nor market financing that would require additional tailored stress tests or other modules. Regarding the contingent liability stress test, a shock of 12 percent of GDP is used. The severity of the shock was calibrated to the most recent domestic banking crisis event in 2016 that resulted in recapitalization of about 8.3 percent of GDP.

[10] The World Bank's CPIA.

[11] Remittances for Moldova comprise of two Balance of Payments (BoP) accounts: compensation of employees and remittances.

[12] Moldova's CI is 3.07, which corresponds to a strong debt-carrying capacity based on the IMF's October 2023 World Economic Outlook and World Bank's 2022 CPIA.

[13] The shock applied is Real GDP growth set to its historical average (10 years) minus one standard deviation, or the baseline projection minus one standard deviation, whichever is lower for the second and third years of the projection period.

Text Table 3. Moldova: Debt Carrying Capacity and Applicable Thresholds

Debt Carrying Capacity and Thresholds

Country	Moldova
Country Code	**921**

Debt Carrying Capacity	**Strong**

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintages
Strong	Strong 3.07	Strong 3.11	Strong 3.13

Applicable thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	240
GDP	55
Debt service in % of	
Exports	21
Revenue	23

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	70

EXTERNAL DEBT SUSTAINABILITY ANALYSIS

11. Under the baseline scenario and alternative scenarios, all external debt indicators continue to remain below their policy-relevant thresholds (Table 2, Figure 1).[14] During 2023–28, new external financing will consist primarily of borrowing from multilateral and bilateral lenders, while commercial borrowing is expected to start playing a larger role in the long-term from 2029. The present value of PPG external debt is projected at 26.3 percent of GDP in 2023, decreasing to almost 13 percent by 2033. The ratio will remain well below the 55 percent threshold under the baseline scenario throughout the projection period. Similarly, debt service indicators remain below their respective thresholds. Improvements in debt-management practices envisaged under the authorities' reforms supported by the ECF/EFF program and

[14] The baseline includes the authorities' current investment plans, including current climate-related spending, financed by the current external borrowing plans with support from multilateral and bilateral lenders, with commercial borrowing playing a larger role over the longer-term. While the climate-related elements of this cannot currently be separated out or aggregated, the proposed RSF arrangement would support efforts to strengthen the climate public investment and budgeting processes, allowing a clearer picture of the existing climate efforts and additional needs. RSF disbursements should also help reduce the present value of debt and debt-servicing burdens than otherwise would be the case by substituting for more expensive domestic debt.

development of domestic debt market will give further resilience to shocks affecting debt service needs. A tailored stress test for the contingent liability shock also does not cause any breach of relevant thresholds. Under the most extreme scenario (export shock), most PPG debt indicators show an increase in their values but remain well below their indicative thresholds. These outcomes hinge on continued prudent fiscal policy and sound macroeconomic and debt management policies envisaged under the ECF/EFF program. Additionally, the market financing risk module indicates a moderate risk of heightened liquidity pressures. However, the shock is not relevant as Moldova does not plan to issue market debt in the near future.

12. While the external risk rating is determined by the PPG external debt, large private external debt poses some potential rollover risks. In the baseline scenario, the private external-debt-to-GDP ratio is expected to improve slightly to 43 percent of GDP in 2023, and then increase modestly before declining below 40 percent of GDP in 2034 supported by strong real and nominal growth and by a larger relative contribution of FDIs and other non-debt creating flows to the current account financing. Additional climate-related investment, including that catalyzed by the RSF, could also improve FDI flows, though short-term debt financing would increase debt ratios in the short to medium-term.

PUBLIC DEBT SUSTAINABILITY ANALYSIS

13. Under the baseline, the indicators of the overall public debt burden are below the benchmark threshold, but risks remain. Under the baseline, the PV of total PPG debt-to-GDP ratio is projected to increase slightly to 40.3 percent of GDP in 2023 and decline below 30 percent of GDP from 2033 onward, remaining below the 70 percent benchmark in the medium-to-long term (Figure 2).

14. The ratio of PV of total PPG debt-to-GDP ratio exceeds its threshold under the real GDP growth shock. Over the long-term, under possible real GDP growth shock scenario[15] it remains elevated, breaching the threshold starting from 2026, as the country accumulates higher debt to finance larger fiscal and current account deficits. Such a scenario highlights the risks to debt sustainability faced by the authorities in the absence of needed reforms. A significant contingent liabilities shock (to SOEs and PPPs and/or financial market distress) would also increase debt levels notably, though such risks are difficult to quantify accurately due to lack of quality data on SOEs and PPPs. The authorities' planned structural reforms underpinned by the ECF/EFF program are expected to improve revenues, increase spending efficiency, and boost growth, thereby mitigating further risk of unsustainable debt. As such, Moldova's overall debt trajectory is projected to remain sustainable despite the recent shocks of the pandemic and the war in Ukraine.

[15] The shock occurs in the second and third years of the projection period and is at a level equivalent to one standard deviation below the baseline projections (i.e., an average of -3 percent per year).

RISK RATING AND VULNERABILITIES

15. Moldova's risk of external debt distress remains low but overall risk of public debt distress is classified as moderate.

- **Debt burden indicators for PPG external debt remain well below the indicative debt thresholds, under both the standardized and tailored stress tests.** While high private external debt in Moldova continues to pose risks to external debt sustainability, risk of external public debt distress continues to be assessed as low because PPG external debt is held mainly by multilateral and bilateral donors and is mostly medium and long term and on concessional terms.

- **Moldova's overall public debt dynamics are also projected to remain on a sustainable path under the baseline scenario but are subject to vulnerabilities in a growth shock.** Assuming the economy contracts with lingering effects, the public debt ratio exceeds its benchmark by 2026 leading to an overall public debt at moderate risk of distress. This could be particularly challenging given large domestic borrowing needs in the medium-term, and would be mitigated by the materialization of external financing from multilateral and official bilateral creditors on concessional terms.

- **Risks to the debt outlook remain tilted to the downside.** Further escalation of the war continues to pose security risks for Moldova, and a new wave of refugees or deterioration of economic conditions in Transnistria would put additional pressure on government finances. Renewed adverse confidence effects, inflationary pressures or additional external shocks would make policy trade-offs more challenging. With the winter season approaching, additional energy shocks would weaken Moldova's economic outlook, worsen the fiscal and external balances, and further upset the fragile social fabric. Political instability, including surrounding elections over the next two years, could jeopardize reform momentum and undermine donor funding. Extreme weather events exacerbated by climate change, particularly droughts and floods, will continue to increase over the long-term and could affect key sectors such as agriculture and impose significant losses, leading to increased debt vulnerabilities, particularly if adaptation measures are not undertaken. On upside, faster-than-anticipated recovery of domestic demand and faster growth in Moldova's main trade partners will boost the recovery in the short term. In the medium term, perspectives for EU accession and continued reforms under the current ECF/EFF program and the new RSF offer a unique opportunity to accelerate sustainable economic and social development. The RSF, in particular, could help mitigate risks stemming from energy shocks and could also help catalyze additional, long-term financing for adaptation to help deal with the aforementioned extreme weather events[16]. Good progress on these reforms combined with other debt management measures could help attract the necessary financing to sustainably increase climate-related investment to meet climate adaptation needs.

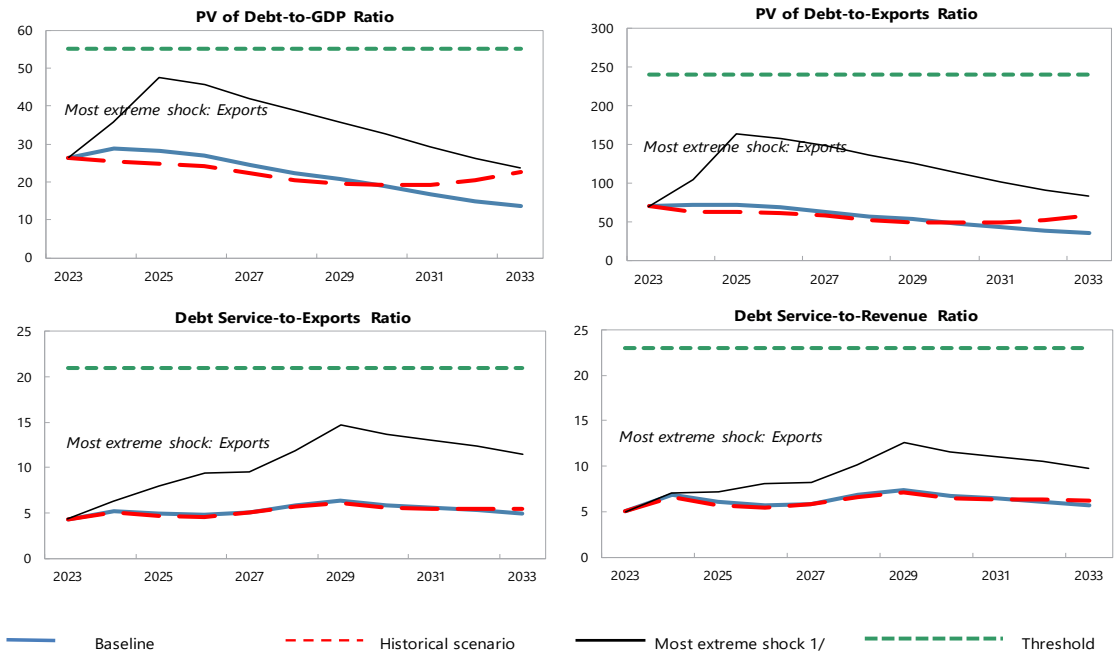
[16] See Staff Report paragraph 38 for details of the Reform Areas.

- **Mitigating debt risk requires sound macroeconomic management and sustained structural reforms.** The authorities should continue to maintain fiscal discipline and fiscal risk management. As the country is expected to accumulate debt to finance larger fiscal and current account deficits, strong and sustained political commitment is needed to deliver on fiscal policy with prudent deficit levels, revenue mobilization, and improved debt and fiscal risk management are imperative to safeguard Moldova's debt sustainability. In the near and medium-term, the authorities should rely on concessional financing consistent with the ECF/EFF-supported program and further strengthen public investment management to finance priority projects with high growth and social returns. Contingent liability risks—including from SOEs—should be monitored carefully. Advancing structural reforms, including to help mitigate long-term climate change-related risks, remain key to increasing the economy's growth potential and resilience, reducing vulnerability to shocks. Furthermore, development of the domestic debt market could further strengthen the outlook for debt sustainability, especially considering the expected transition of financing mix from concessional to commercial over the long term. As part of the ECF/EFF-supported program, the authorities are undertaking steps to strengthen debt and cash management to enable a broader range of longer maturity debt instruments to lengthen the maturity of domestic debt and deepen the secondary government securities market. Moldova will also seek to further strengthen debt management by developing domestic debt market and develop a new platform for retail investors. These will help to reduce the PPG domestic debt roll-over and interest rate risks.

AUTHORITIES' VIEW

16. The authorities broadly agreed with staff's assessment of Moldova's public and external debt situation and recommendations for debt management, as well as the role the RSF could play in mobilizing critical financing for climate efforts. They broadly concurred with staff's assessment on the debt projections and risk ratings. They recognize the importance of fiscal discipline and the need to manage fiscal risks. Importantly, they remain committed to the use of concessional and grant resources in the near term while they continue to prepare for greater commercial borrowing in the medium-term. They also recognize the role the RSF could play in both providing affordable financing for climate adaptation efforts and also the positive signal it could send through successful implementation of RMs.

Figure 1. Moldova: Indicators of Public Guaranteed External Debt Under Alternative Scenarios, 2023–2033



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	n.a.	n.a.
Commodity price	n.a.	n.a.
Market financing	Yes	No

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

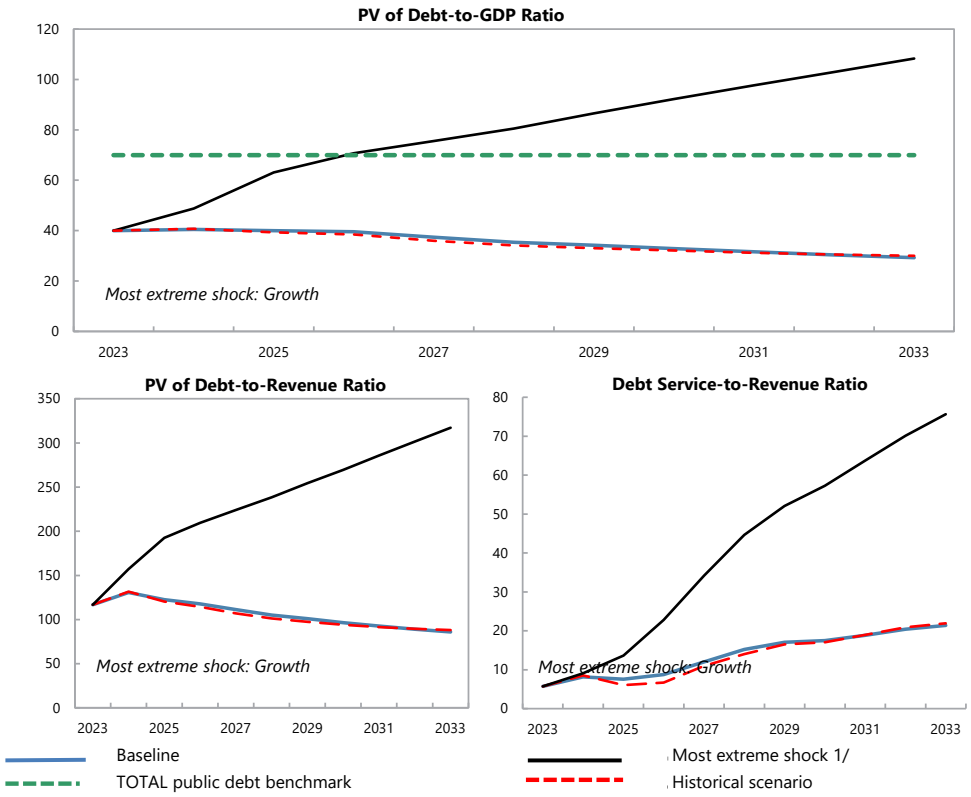
Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	4.1%	4.1%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	17	17
Avg. grace period	3	3

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 2. Moldova: Indicators of Public Debt Under Alternative Scenarios, 2023–2033



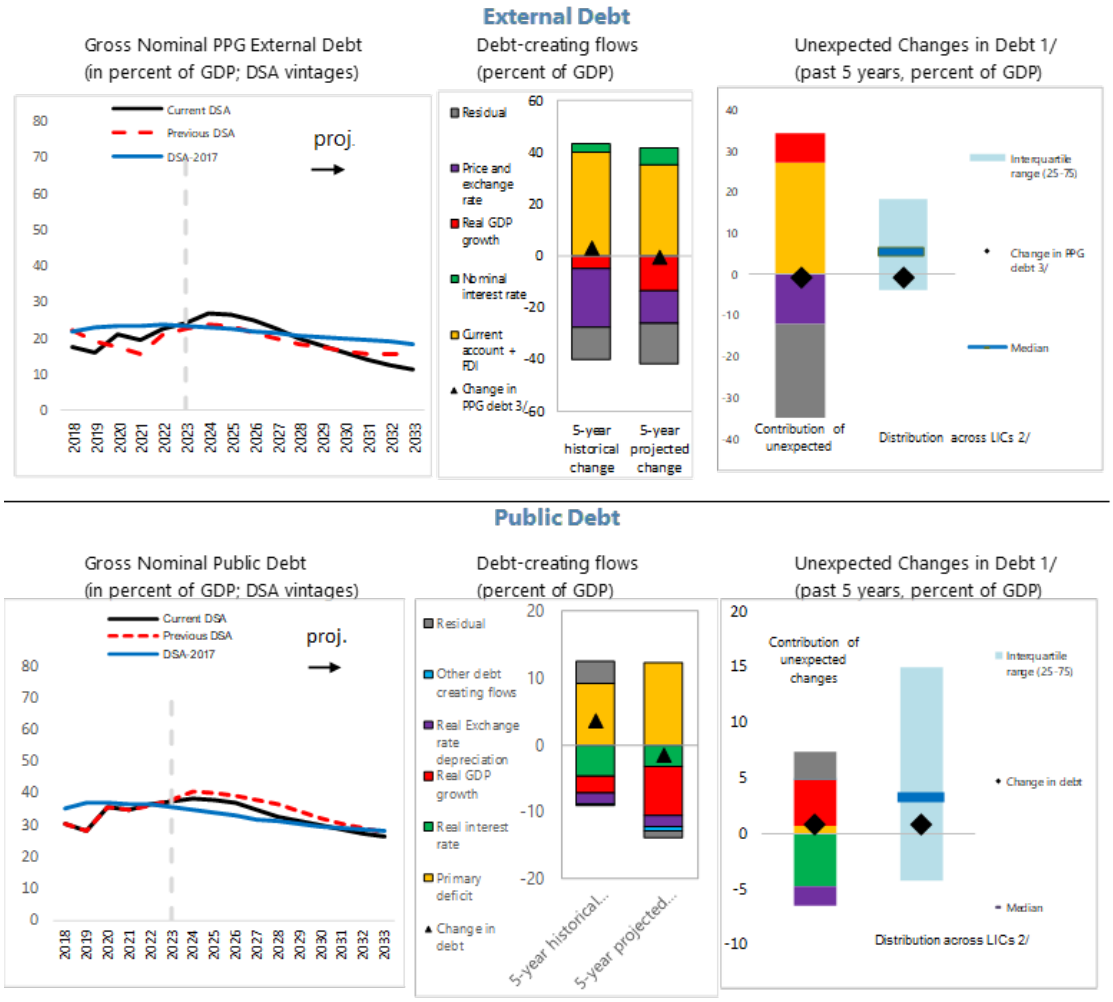
Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	37%	37%
Domestic medium and long-term	32%	32%
Domestic short-term	31%	31%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	4.1%	4.1%
Avg. maturity (incl. grace period)	17	17
Avg. grace period	3	3
Domestic MLT debt		
Avg. real interest rate on new borrowing	0.3%	0.3%
Avg. maturity (incl. grace period)	3	3
Avg. grace period	1	1
Domestic short-term debt		
Avg. real interest rate	1.0%	1.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 3. Moldova: Drivers of Debt Dynamics—Baseline Scenario



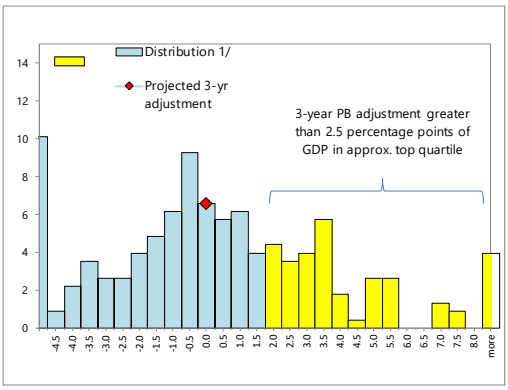
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

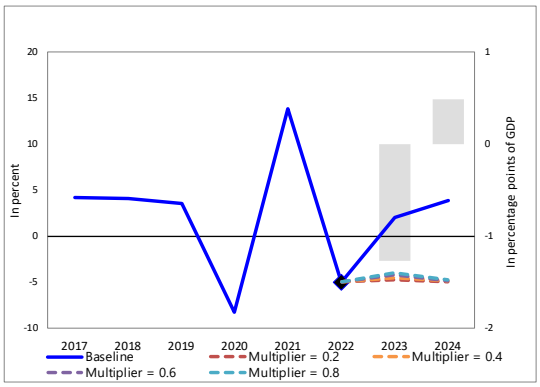
Figure 4. Moldova: Realism Tools

3-Year Adjustment in Primary Balance (Percentage points of GDP)



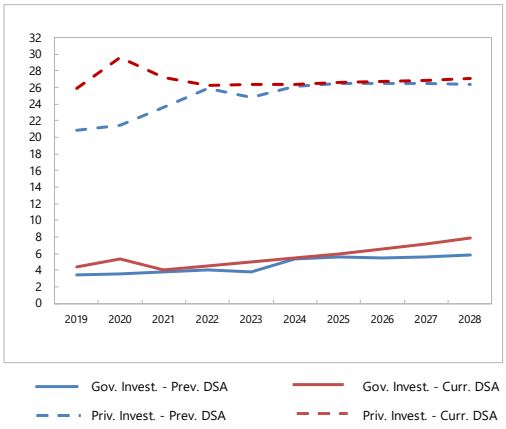
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/

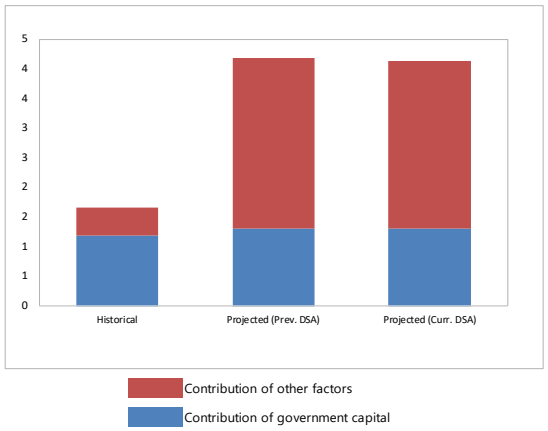


1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP Growth
(percent, 5-year average)



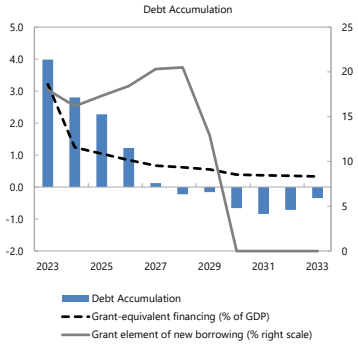
Source: IMF staff calculations.

Table 2. Moldova: External Debt Sustainability Framework, Baseline Scenario, 2022–2043

(in percent of GDP, unless otherwise indicated)

	Actual	Projections												Average 8/	
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2043	Historical	Projections
External debt (nominal) 1/	**66.2**	**67.3**	**71.8**	**71.2**	**69.8**	**67.3**	**65.9**	**64.5**	**62.1**	**59.2**	**55.9**	**52.6**	**29.4**	**70.4**	**64.3**
of which: public and publicly guaranteed (PPG)	**22.7**	**24.2**	**27.0**	**26.5**	**25.0**	**22.4**	**20.1**	**18.1**	**15.9**	**14.0**	**12.3**	**11.2**	**8.6**	**20.1**	**19.7**
Change in external debt	2.9	1.1	4.5	-0.6	-1.3	-2.5	-1.5	-1.3	-2.4	-3.0	-3.3	-3.3	-1.8		
Identified net debt-creating flows	**9.7**	**8.8**	**6.5**	**5.0**	**4.0**	**4.0**	**3.9**	**2.9**	**2.1**	**1.4**	**0.9**	**0.4**	**-2.1**	**2.9**	**3.6**
Non-interest current account deficit	**16.5**	**11.4**	**10.3**	**8.9**	**8.2**	**8.2**	**8.3**	**7.3**	**6.5**	**5.7**	**5.1**	**4.5**	**1.2**	**7.9**	**7.7**
Deficit in balance of goods and services	29.4	27.4	26.1	24.2	23.2	22.6	22.2	21.0	19.9	18.8	17.7	16.6	7.1	**26.6**	**21.8**
Exports	41.1	37.3	39.9	39.5	39.3	38.6	39.0	39.0	39.0	39.0	39.0	38.9	38.8		
Imports	70.6	64.7	66.0	63.8	62.5	61.1	61.2	60.0	58.9	57.8	56.7	55.6	45.9		
Net current transfers (negative = inflow)	-11.9	-12.5	-11.1	-10.3	-10.0	-9.6	-9.4	-9.2	-8.9	-8.6	-8.4	-8.2	-6.1	**-12.9**	**-9.7**
of which: official	-0.8	-2.4	-0.6	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1		
Other current account flows (negative = net inflow)	-1.0	-3.5	-4.7	-5.0	-5.0	-4.8	-4.5	-4.6	-4.5	-4.4	-4.2	-4.0	0.2	**-5.8**	**-4.5**
Net FDI (negative = inflow)	**-3.7**	**-2.2**	**-2.3**	**-2.3**	**-2.5**	**-2.4**	**-2.5**	**-2.5**	**-2.5**	**-2.5**	**-2.5**	**-2.5**	**-2.5**	**-2.5**	**-2.4**
Endogenous debt dynamics 2/	**-3.1**	**-0.4**	**-1.5**	**-1.6**	**-1.8**	**-1.7**	**-1.9**	**-1.9**	**-1.9**	**-1.8**	**-1.7**	**-1.7**	**-0.8**	**-2.6**	**-1.6**
Contribution from nominal interest rate	0.6	0.8	1.1	1.5	1.5	1.5	1.2	1.2	1.1	1.1	1.0	1.0	0.7		
Contribution from real GDP growth	3.0	-1.2	-2.6	-3.1	-3.3	-3.2	-3.1	-3.1	-3.0	-2.9	-2.8	-2.6	-1.5		
Contribution from price and exchange rate changes	-6.7	...	...	...	...	...	...	...	...	...	...	...	...		
Residual 3/	**-6.9**	**-7.7**	**-2.0**	**-5.6**	**-5.3**	**-6.6**	**-5.3**	**-4.3**	**-4.5**	**-4.4**	**-4.1**	**-3.7**	**0.3**	**-2.9**	**-4.9**
of which: exceptional financing	-2.1	-2.1	-1.3	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1		
Sustainability indicators															
PV of PPG external debt-to-GDP ratio	**25.0**	**26.3**	**28.6**	**28.2**	**26.9**	**24.4**	**22.4**	**20.7**	**18.8**	**16.7**	**15.0**	**13.7**	**8.8**		
PV of PPG external debt-to-exports ratio	**60.7**	**70.5**	**71.6**	**71.4**	**68.6**	**63.3**	**57.3**	**53.2**	**48.1**	**43.0**	**38.4**	**35.1**	**22.6**		
PPG debt service-to-exports ratio	**3.8**	**4.3**	**5.3**	**4.9**	**4.8**	**5.0**	**5.8**	**6.3**	**5.8**	**5.6**	**5.3**	**4.9**	**5.6**		
PPG debt service-to-revenue ratio	**4.9**	**5.0**	**6.9**	**6.0**	**5.7**	**5.8**	**6.9**	**7.4**	**6.7**	**6.4**	**6.2**	**5.6**	**6.2**		
Gross external financing need (Million of U.S. dollars)	5994.0	5558.9	6051.5	6311.9	6877.4	7824.6	8047.7	8109.8	8074.8	8164.4	8321.1	8312.8	10737.2		
Key macroeconomic assumptions															
Real GDP growth (in percent)	-5.0	2.0	3.9	4.8	5.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0	**3.1**	**4.6**
GDP deflator in US dollar terms (change in percent)	11.8	7.8	-2.0	4.5	4.0	5.5	3.1	1.9	1.9	1.9	1.9	1.9	1.9	**2.8**	**3.0**
Effective interest rate (percent) 4/	1.1	1.3	1.7	2.3	2.3	2.3	1.9	1.9	1.9	1.9	1.9	1.8	2.4	**1.0**	**1.9**
Growth of exports of G&S (US dollar terms, in percent)	42.5	-0.1	8.9	8.4	8.6	8.7	9.5	7.0	7.0	7.0	7.0	7.0	7.0	**9.6**	**7.2**
Growth of imports of G&S (US dollar terms, in percent)	29.7	0.9	3.8	5.8	7.0	8.4	8.3	5.0	5.0	5.0	5.0	5.0	5.0	**7.5**	**5.4**
Grant element of new public sector borrowing (in percent)	...	18.0	16.2	17.3	18.4	20.3	20.5	12.9	0.0	0.0	0.0	0.0	0.0	**...**	**11.2**
Government revenues (excluding grants, in percent of GDP)	31.6	31.9	30.5	32.2	33.2	33.1	33.2	33.5	33.7	33.7	33.7	33.7	34.6	**29.8**	**33.0**
Aid flows (in Million of US dollars) 5/	507.6	378.5	67.5	83.2	90.9	95.7	98.7	101.2	103.6	105.4	107.2	109.0	132.7		
Grant-equivalent financing (in percent of GDP) 6/	...	3.2	1.2	1.0	0.8	0.7	0.6	0.5	0.4	0.4	0.3	0.3	0.2	**...**	**0.9**
Grant-equivalent financing (in percent of external financing) 6/	...	45.4	22.5	27.5	33.6	43.0	45.1	36.0	40.9	41.3	34.9	26.6	9.3	**...**	**36.1**
Nominal GDP (Million of US dollars)	14,550	15,998	16,284	17,834	19,480	21,579	23,360	25,004	26,763	28,646	30,661	32,818	64,775		
Nominal dollar GDP growth	6.3	10.0	1.8	9.5	9.2	10.8	8.3	7.0	7.0	7.0	7.0	7.0	7.0	**5.9**	**7.7**
Memorandum items:															
PV of external debt 7/	68.5	69.4	73.5	72.8	71.7	69.3	68.2	67.1	65.0	61.9	58.6	55.1	29.6		
In percent of exports	166.5	185.8	184.0	184.3	182.6	179.8	174.7	172.1	166.6	158.9	150.3	141.4	76.2		
Total external debt service-to-exports ratio	51.0	56.6	61.6	61.4	62.8	66.5	60.7	58.0	54.4	52.1	50.2	47.0	33.3		
PV of PPG external debt (in Million of US dollars)	3630.7	4210.6	4659.1	5029.5	5247.7	5271.8	5222.7	5185.6	5020.7	4795.1	4590.5	4484.9	5682.7		
(PVt-PVt-1)/GDPt-1 (in percent)		4.0	2.8	2.3	1.2	0.1	-0.2	-0.2	-0.7	-0.8	-0.7	-0.3	0.3		
Non-interest current account deficit that stabilizes debt ratio	13.7	10.3	5.7	9.5	9.5	10.7	9.7	8.7	8.8	8.7	8.3	7.9	3.0		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	Yes



Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + εα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, ε=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

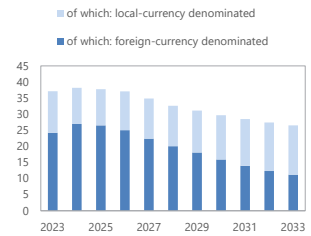
Table 3. Moldova: Public Sector Debt Sustainability Framework, Baseline Scenario, 2022–2043

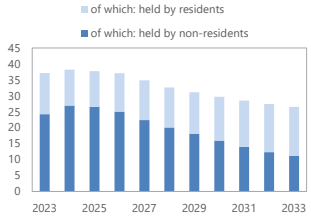
(in percent of GDP, unless otherwise indicated)

	Actual	Projections								Average 6/	
	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**36.4**	**37.1**	**38.2**	**37.8**	**37.1**	**34.9**	**32.6**	**26.5**	**20.5**	**32.2**	**32.8**
of which: external debt	**22.7**	**24.2**	**27.0**	**26.5**	**25.0**	**22.4**	**20.1**	**11.2**	**8.6**	**20.1**	**19.7**
Change in public sector debt	1.8	0.7	1.1	-0.5	-0.6	-2.2	-2.2	-0.9	-0.4		
Identified debt-creating flows	**-0.2**	**0.7**	**1.0**	**-0.5**	**-0.7**	**-1.0**	**-0.7**	**-0.4**	**-0.4**	**0.9**	**-0.3**
Primary deficit	**2.2**	**3.5**	**3.0**	**2.3**	**1.9**	**1.7**	**1.2**	**0.6**	**0.0**	**1.3**	**1.6**
Revenue and grants	33.2	34.2	31.0	32.7	33.6	33.6	33.7	34.0	34.8	**30.9**	**33.5**
of which: grants	1.6	2.4	0.4	0.5	0.5	0.4	0.4	0.3	0.2		
Primary (noninterest) expenditure	35.4	37.7	34.0	34.9	35.5	35.3	34.8	34.6	34.9	**32.2**	**35.1**
Automatic debt dynamics	**-2.4**	**-2.3**	**-1.9**	**-2.7**	**-2.5**	**-2.6**	**-1.8**	**-0.9**	**-0.4**		
Contribution from interest rate/growth differential	-1.8	-1.8	-2.8	-2.1	-2.0	-1.8	-1.5	-0.9	-0.4		
of which: contribution from average real interest rate	-3.6	-1.1	-1.5	-0.3	-0.2	0.0	0.1	0.4	0.6		
of which: contribution from real GDP growth	1.8	-0.7	-1.4	-1.8	-1.8	-1.8	-1.7	-1.3	-1.0		
Contribution from real exchange rate depreciation	-0.7	-0.5	0.9	-0.6	-0.5	-0.8	-0.3	0.0	0.0		
Other identified debt-creating flows	**0.0**	**-0.5**	**-0.1**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.8**	**-0.1**
Privatization receipts (negative)	0.0	-0.5	-0.1	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**2.1**	**0.1**	**0.1**	**0.0**	**0.0**	**-1.3**	**-1.6**	**-0.5**	**0.0**	**0.1**	**-0.6**
Sustainability indicators											
PV of public debt-to-GDP ratio 2/	**39.0**	**40.0**	**40.5**	**40.0**	**39.6**	**37.4**	**35.4**	**29.3**	**20.8**		
PV of public debt-to-revenue and grants ratio	**117.4**	**116.8**	**130.7**	**122.4**	**117.7**	**111.3**	**105.1**	**86.0**	**59.8**		
Debt service-to-revenue and grants ratio 3/	**6.3**	**5.7**	**8.1**	**7.5**	**8.8**	**12.0**	**15.2**	**21.4**	**18.3**		
Gross financing need 4/	4.3	4.9	5.5	4.7	4.8	5.7	6.3	7.8	6.4		
Key macroeconomic and fiscal assumptions											
Real GDP growth (in percent)	-5.0	2.0	3.9	4.8	5.0	5.0	5.0	5.0	5.0	**3.1**	**4.6**
Average nominal interest rate on external debt (in percent)	0.9	0.4	1.0	2.1	2.3	2.8	3.5	5.9	7.0	**1.1**	**3.4**
Average real interest rate on domestic debt (in percent)	-15.0	-3.0	-9.0	-3.5	-2.9	-2.3	-1.9	-0.7	1.4	**-1.4**	**-2.5**
Real exchange rate depreciation (in percent, + indicates depreciation)	-3.6	...	...	...	...	...	...	...	...	**0.7**	**...**
Inflation rate (GDP deflator, in percent)	19.8	4.7	11.8	5.5	5.5	5.5	5.5	5.0	1.9	**7.1**	**5.8**
Growth of real primary spending (deflated by GDP deflator, in percent)	-0.3	8.6	-6.4	7.7	6.8	4.2	3.7	4.8	8.0	**3.7**	**4.4**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	0.4	2.8	1.9	2.7	2.6	3.9	3.4	1.4	0.4	**0.1**	**2.5**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central, state, and local governments plus social security, central bank, government-guaranteed debt, spending arrears, non-guaranteed majority owned SOE debt. Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 4. Moldova: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023–2033

(in percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	26	29	28	27	24	22	21	19	17	15	14
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	26	25	25	24	22	20	19	19	19	20	23
B. Bound Tests											
B1. Real GDP growth	26	32	36	34	31	29	27	24	21	19	17
B2. Primary balance	26	29	30	28	26	24	22	20	18	17	15
B3. Exports	26	36	48	46	42	39	36	33	29	26	24
B4. Other flows 3/	26	31	33	32	29	27	25	22	20	18	16
B5. Depreciation	26	36	28	27	24	22	20	18	16	15	13
B6. Combination of B1-B5	26	36	38	36	33	30	28	25	22	20	18
C. Tailored Tests											
C1. Combined contingent liabilities	26	33	33	33	31	29	28	26	24	22	21
Threshold	55	55	55	55	55	55	55	55	55	55	55
PV of debt-to-exports ratio											
Baseline	70	72	71	69	63	57	53	48	43	38	35
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	70	63	63	62	58	52	50	49	50	53	58
B. Bound Tests											
B1. Real GDP growth	70	72	71	69	63	57	53	48	43	38	35
B2. Primary balance	70	73	75	72	67	62	58	52	47	43	39
B3. Exports	70	104	164	158	148	136	125	114	102	92	83
B4. Other flows 3/	70	78	85	81	76	69	64	58	52	46	42
B5. Depreciation	70	72	56	54	49	44	41	37	33	29	27
B6. Combination of B1-B5	70	92	82	94	87	78	73	66	59	53	48
C. Tailored Tests											
C1. Combined contingent liabilities	70	82	84	83	80	75	71	66	61	57	53
Threshold	240	240	240	240	240	240	240	240	240	240	240
Debt service-to-exports ratio											
Baseline	4	5	5	5	5	6	6	6	6	5	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	4	5	5	5	5	6	6	6	6	5	5
B. Bound Tests											
B1. Real GDP growth	4	5	5	5	5	6	6	6	6	5	5
B2. Primary balance	4	5	5	5	5	6	7	6	6	6	5
B3. Exports	4	6	8	9	10	12	15	14	13	12	12
B4. Other flows 3/	4	5	5	5	6	7	8	7	7	6	6
B5. Depreciation	4	5	5	4	4	5	5	4	4	4	4
B6. Combination of B1-B5	4	6	6	6	6	8	9	8	8	7	7
C. Tailored Tests											
C1. Combined contingent liabilities	4	5	5	5	6	7	7	7	6	6	6
Threshold	21	21	21	21	21	21	21	21	21	21	21
Debt service-to-revenue ratio											
Baseline	5	7	6	6	6	7	7	7	6	6	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	5	7	6	5	6	7	7	6	6	6	6
B. Bound Tests											
B1. Real GDP growth	5	8	8	7	7	9	9	9	8	8	7
B2. Primary balance	5	7	6	6	6	7	8	7	7	7	6
B3. Exports	5	7	7	8	8	10	13	12	11	11	10
B4. Other flows 3/	5	7	6	6	6	8	9	8	8	7	7
B5. Depreciation	5	9	8	6	7	8	7	7	6	6	6
B6. Combination of B1-B5	5	7	8	7	7	9	10	9	9	8	8
C. Tailored Tests											
C1. Combined contingent liabilities	5	7	7	6	7	8	8	8	7	7	6
Threshold	23	23	23	23	23	23	23	23	23	23	23

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the threshold.

2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.

3/ Includes official and private transfers and FDI.

Table 5. Moldova: Sensitivity Analysis for Key Indicators of Public Debt, 2023–2033

(in percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	40	40	40	40	37	35	34	33	32	30	29
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	40	41	39	38	36	34	33	32	31	31	30
B. Bound Tests											
B1. Real GDP growth	40	49	63	**71**	**76**	**81**	**87**	**92**	**98**	**103**	**108**
B2. Primary balance	40	42	43	42	40	38	37	35	34	33	31
B3. Exports	40	47	57	56	53	50	48	45	43	40	38
B4. Other flows 3/	40	43	45	45	42	40	38	37	35	33	32
B5. Depreciation	40	42	39	36	32	28	24	21	18	14	11
B6. Combination of B1-B5	40	41	43	45	44	43	44	44	44	44	44
C. Tailored Tests											
C1. Combined contingent liabilities	40	52	51	50	47	45	43	42	40	39	38
TOTAL public debt benchmark	70	70	70	70	70	70	70	70	70	70	70
PV of Debt-to-Revenue Ratio											
Baseline	117	131	122	118	111	105	101	96	93	89	86
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	117	132	120	114	107	101	97	94	92	90	88
B. Bound Tests											
B1. Real GDP growth	117	157	192	209	224	238	255	269	286	301	317
B2. Primary balance	117	135	131	126	119	112	108	103	99	95	92
B3. Exports	117	151	176	167	158	149	141	133	126	119	113
B4. Other flows 3/	117	140	139	133	126	119	113	108	103	98	94
B5. Depreciation	117	135	118	107	94	82	72	62	52	42	33
B6. Combination of B1-B5	117	133	133	133	131	129	129	128	128	128	129
C. Tailored Tests											
C1. Combined contingent liabilities	117	168	156	149	141	134	128	123	119	114	111
Debt Service-to-Revenue Ratio											
Baseline	6	8	8	9	12	15	17	17	19	20	21
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	6	9	6	7	11	14	16	17	19	21	22
B. Bound Tests											
B1. Real GDP growth	6	9	14	23	34	45	52	57	64	70	76
B2. Primary balance	6	8	9	11	14	17	19	19	20	22	23
B3. Exports	6	8	8	11	14	18	22	22	23	24	25
B4. Other flows 3/	6	8	8	9	13	16	18	19	20	22	22
B5. Depreciation	6	8	8	7	11	14	16	15	16	16	17
B6. Combination of B1-B5	6	8	9	11	16	20	23	25	27	29	31
C. Tailored Tests											
C1. Combined contingent liabilities	6	8	20	18	22	22	23	22	23	24	24

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

3/ Includes official and private transfers and FDI.